

ECON 0100 | Exercise B3 | Equilibrium

Enchanted broomsticks are bought and sold in a market with the following demand and supply curves:

$$P = 16 - \frac{Q_d}{4} \qquad P = 4 + \frac{Q_s}{4}$$

Prices are in galleons and quantity is in broomsticks.

Q1 | Equilibrium

- a) What is the equilibrium quantity? _____
- b) What is the equilibrium price? _____
- c) Plot the demand curve, the supply curve, and the starred equilibrium pair.

Q2 | A Price Away from Equilibrium

Enchanted broomsticks again. Suppose the price is 8 galleons.

- a) What is the quantity demanded? _____
- b) What is the quantity supplied? _____
- c) Is this a shortage or an excess, and how large? _____
- d) Which way will the price move? _____